

Article | 12 August 2026

UNITED STATES

Cooling US inflation points to the Fed holding steady

Another benign inflation report following hot on the heels of a poor July jobs report has seen markets increasingly doubt the resolve of Fed hawks to deliver rate hikes this year. We see four key reasons for the disinflation trends to continue and expect the Fed to hold rates steady for a prolonged period



Low July inflation at the core and headline levels indicate the Federal Reserve may keep rates on hold for a prolonged period

2.5% Annual rate of core inflation

Inflation continues to cool

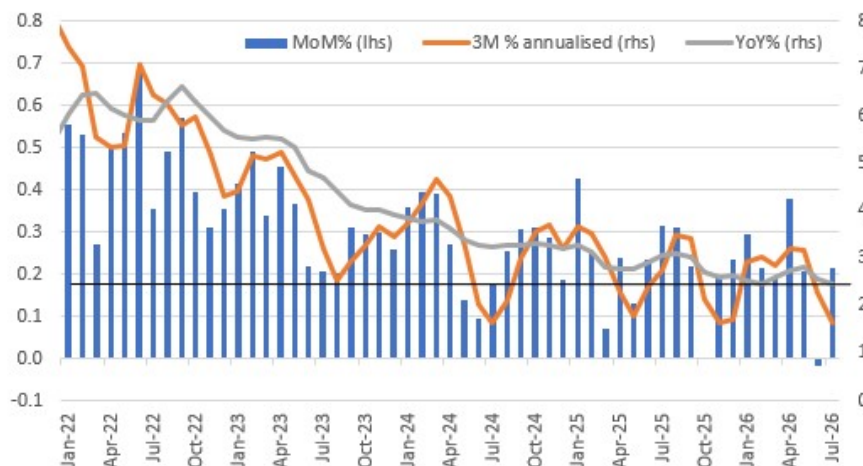
US consumer price inflation has come in as expected in July. After a remarkably benign June report, headline prices rose 0.1% month-on-month in July while core CPI (ex-food and energy) rose 0.2% MoM. This brings the year-on-year rate of inflation down to 3.4% from 3.5% for

headline while core inflation is now running at 2.5% versus 2.6% previously. In terms of 3M annualised core inflation, we are now down to just 1.6%, which, after the poor jobs report last Friday, should leave the Fed hawks less confident on the need for a rate hike, but we do have another job and inflation print plus the annual Jackson Hole symposium before the next FOMC meeting on 16 September. This will limit the scope for significant market reaction today.

In terms of the details, gasoline prices fell 2.9% MoM while shelter was subdued at just 0.1% MoM with food (+0.1%), apparel (+0.1%) and new vehicles (+0.1%) and other goods & services (+0.1%) all very well-behaved. Used cars and trucks (+0.4%) and medical care (+0.4%) and education (+0.6%) were the main areas of elevated price pressures, but all experienced falls in June and the underlying story looks OK. The main issue remains airline fares (+2.2% MoM/ 25.5% YoY), which mainly reflects higher jet fuel. That can quickly correct lower on a deal in the Middle East. Overall, nothing here to change our view that the Fed is set for a prolonged pause well into 2027.

The chart below shows core CPI under different metrics. The black line represents 0.17% MoM, which is what we need the blue bars to average to bring the YoY rate to 2% over time.

Core inflation metrics



Source: Macrobond, ING

Four reasons for inflation to slow into 2027

Gasoline can continue to contribute to lower headline inflation – remember that the current oil price of around \$83/bbbl is historically consistent with US retail gasoline prices of \$3.80/gallon – below the current AAA measured average US price of \$4 given refining margins have widened a touch. As such, if we get a deal to reopen the Strait of Hormuz and flow resumes, we should see margins compress, which will deliver lower gasoline costs.

Secondly, the heaviest weighted component in CPI is shelter, at 35% of the basket of goods

and services, which is currently running at 3.2% year-on-year. Affordability is stretched by high prices and elevated mortgage rates with the current number of housing transactions on a par with the 2008-12 post-GFC environment. Consequently, home prices are barely rising 1% and rents are now falling outright in a growing number of states, according to data from Zillow and Realtor.com. We expect this dominant component to exert steady downward pressure on overall inflation over the next 12 months.

Thirdly, the biggest cost input for US corporates is not tech, tariffs or energy. It's the cost of workers. We've gone from a situation where, in 2022, there were two job vacancies for every unemployed American to being in balance today. This has taken a huge amount of froth out of wages. Moreover, the plunge in the quits rate – a measure of labour market churn – means companies are no longer having to pay up to retain staff. Private wage growth, according to the Employment Cost index, is rising just 3.1% YoY, the same as average hourly earnings. That is fully consistent with 2% consumer price inflation.

Then, rounding out the story, we have tariffs. They represent a one-off step change in prices. Now that we've arguably entered a less onerous tariff regime that includes lots of exemptions, we're increasingly confident that their upward influence on inflation will rapidly fade. Federal budget data show the International Emergency Economic Powers Act (IEEPA) 'Liberation Day' tariffs, that were struck down by the Supreme Court, are now being repaid to corporate America. In May, the new tariff system revenues were fully offset by the initial repayments of the IEEPA tariffs. June data showed the Treasury actually paid out \$25.5bn more in IEEPA refunds than it received under all other tariffs, and we expect the July numbers, to be released later today, to show an even bigger net refund. This boost to corporate cash flow should mitigate cost pressures elsewhere and therefore maintain the disinflationary trend.

'Chipflation' fears are overblown

The rising cost of semi-conductors, attributed to the surge in demand from data centre construction, has led to fears of 'chipflation' with anticipated price hikes for laptops, mobile phones and games consoles featuring heavily in the media. But we should remember that computer and communication have a very small weight within the basket – just 0.7pp versus 35% for housing. They also use hedonic pricing, so quality improvements come into the calculation. Hence, why within CPI smart phones are currently falling 10.9%YoY, yet the base level for most phones has not changed – camera improvements, better quality battery life, more powerful processors mean that you get more for your money. For the purpose of the inflation calculation, it results in a price fall.

Prolonged pause from the Fed

We recognise that the Fed has missed its inflation target for the past five years. Nonetheless, progress does appear to be being made and consumer inflation expectations are within tolerable ranges, suggesting little risk of second-round price effects from the energy spike.

Meanwhile, market inflation expectations are benign, with 10Y break-even inflation rates in line with their 25-year average. The market is still pricing a rate hike from the Fed, but we see the more likely course of action is for the Fed to hold rates steady for a prolonged period, well into 2027.

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Article | 7 August 2026

UNITED STATES

Surprise US job weakness casts serious doubt on Fed rate hikes

The US lost jobs in July and while the unemployment rate fell, it was for bad reasons. Rate hike expectations have declined, but there is a lot happening before the 16 September FOMC meeting



Construction was one of the few bright spots in an otherwise weak US jobs report for July

-23,000 US jobs lost in July

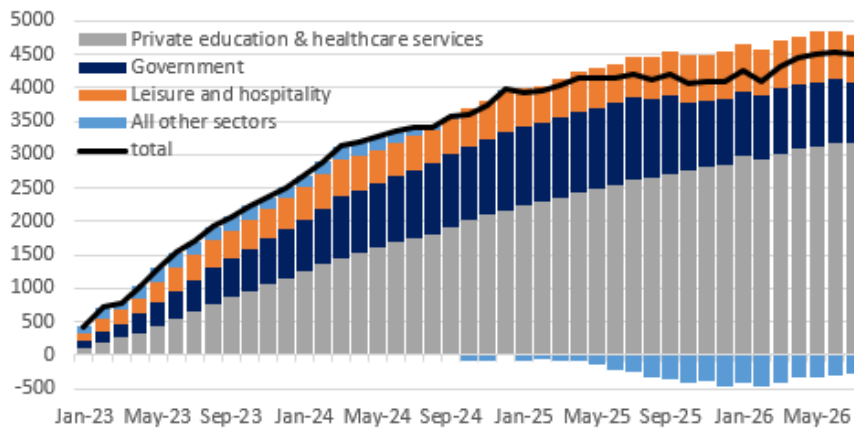
Employment fall highlights corporate caution

The US jobs report for July was surprisingly weak, with payrolls falling 23k while there were 103K of downward revisions to the past two months' data, leaving the 3M average at 20,000. The unemployment rate fell to 4.1% from 4.2%, but not for good reasons. It was primarily because of a further drop in the participation rate – unemployed people leaving the workforce entirely. Average hourly earnings growth slowed to just 3.2% year-on-year from 3.5%.

In terms of payrolls details, the leisure and hospitality sector lost 40k jobs, which may reflect the conclusion of the FIFA World Cup, but we had also seen a 43k drop in June when it was in full swing. The financial sector lost 14k roles while retail lost 19k. The offsetting strength was in

construction (+22k) and, as usual, private education and healthcare services (+25k). The chart below shows the cumulative job creation since December 2022 and indicates that, after a decent March and April, we have reverted to the very weak trend experienced from January 2025-February 2026.

Cumulative increase in US employment since December 2022 (000s)

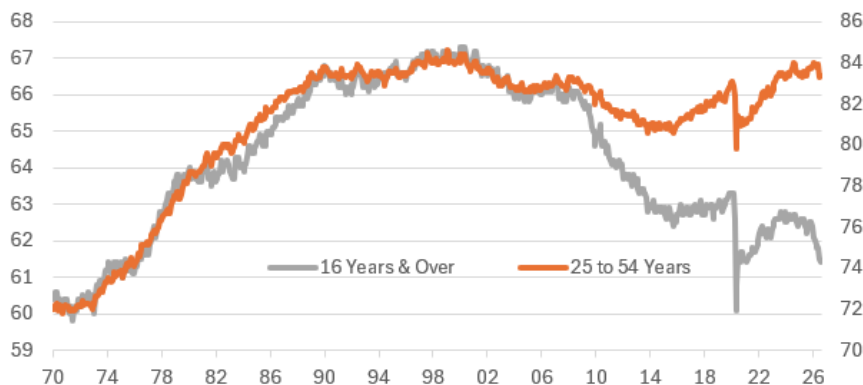


Source: Macrobond, ING

Disengagement drives a fall in participation

Regarding the drop in the unemployment rate and why this isn't the great news it seems, we have to look at the participation rate. It fell to 61.4%, which, outside the pandemic, we must go all the way back to the mid to late 1970s to find a lower reading. A quarter of a million people left the labour force last month. Within that, the number of people classifying themselves as employed fell 87k while the number of people classifying themselves as unemployed fell 178k. Therefore, the fall in the unemployment rate was caused by disengagement rather than for any positive reason. You can see that the participation rate has fallen by more than a full percentage point over the past year. If it had held steady, we would have a US unemployment rate in excess of 5%, and we would not be talking about a possible September rate hike from the Federal Reserve.

Labour force participation rates



Source: Macrobond, ING

What it means for the Fed outlook

Reaction has been significant, with 2Y yields down 8bp and the dollar softening, while Fed funds futures contracts are now only pricing 10bp of a potential 25bp hike on 16 September. Today's outcome supports our call for a prolonged pause from the Federal Reserve, but remember that ahead of the September FOMC meeting we have a further jobs report, two inflation prints and the Federal Reserve's Jackson Hole Symposium.

In terms of jobs, we would tentatively suggest a rebound is possible for August, but the Fed's decision is more likely to come down to what happens on inflation. We expect next week's July CPI expected to show headline prices rising 0.1% month-on-month and core prices rising 0.2%. Cooling housing-related inflation should pull the shelter CPI component lower, while weak wage growth and tariff refunds provide a cash flow boost to US companies, which should all help offset higher costs elsewhere. Assuming we get a deal to reopen the Strait of Hormuz, that can feed through into lower gasoline prices and keep the disinflation trend in place through to year-end and beyond.

While nine members of the FOMC suggested in June they think the Fed will have to hike rates, nine said they didn't (plus, presumably, Kevin Warsh). Now of the nine that think they will hike, we strongly suspect only three are voters this year, and they are already voting for a 25bp hike. That would, in theory, mean to deliver a rate hike, we would need to see inflation come in hotter than the nine who didn't think they would need to hike were anticipating. Given we are expecting encouraging news on disinflation, we are consequently expecting the Fed to remain on hold well into 2027.

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Article | 5 August 2026

Stablecoins 101: Uncertain growth but the stakes are high

Stablecoins saw significant growth in 2025, drawing attention from issuers and regulators alike. Still, their long-term prospects remain uncertain. In the first article of our new series, we explore what stablecoins are, what could drive adoption, and why their future matters



Despite a sharp expansion, stablecoins now account for only about 7% of the broader crypto market

Executive summary

Stablecoins have seen significant growth over the past few years, reaching nearly US\$300bn in market capitalisation at the end of 2025. This rapid expansion has come with heightened attention from both regulators and potential issuers. However, the future of the crypto asset remains uncertain as further growth depends on whether it can develop beyond the crypto-landscape and expand into the broader payment world.

In our view, part of the path to becoming a broadly adopted instrument depends on the presence of a regulatory framework and interoperability with existing payment systems. However, estimating the future growth of stablecoins is difficult, as it requires predicting their relative attractiveness compared with alternative payment systems such as central bank digital currencies and tokenised deposits in a rapidly evolving

market.

While the jury is still out on how widely stablecoins could be adopted, it is important to consider a scenario in which uptake becomes significant, as this could have serious implications for financial stability, the banking sector, emerging markets, and monetary policy.

Despite the growing attention, many questions remain about what stablecoins are, how they work, and what role they could ultimately play in the financial system. In this piece, we explain the fundamentals of stablecoins, review recent market and regulatory developments, and explore the factors that could shape their future adoption. While the market is evolving quickly, their long-term prospects remain highly uncertain. Their eventual role in payments and savings will depend not only on regulation but also on whether they can compete with existing and emerging forms of digital money. In future publications, we will examine the implications of broader stablecoin adoption in more detail.

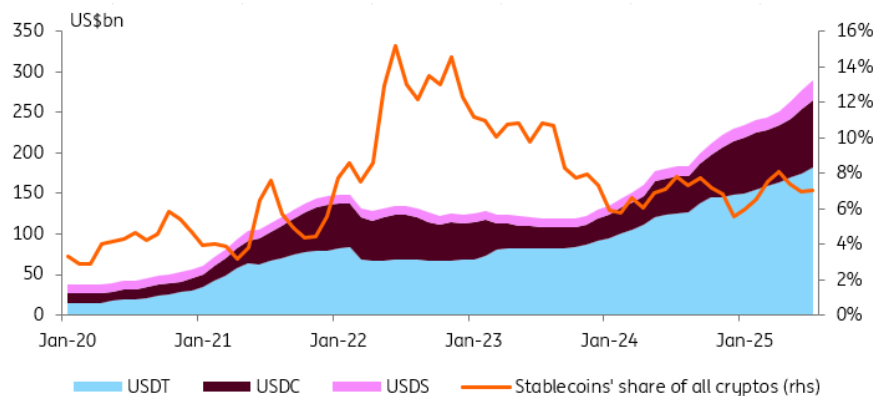
What are stablecoins?

Stablecoins are crypto assets issued by private institutions that promise a stable nominal value in a given currency, commodity or pool of assets. They are not issued or backed by a government or central authority but rather by a private institution and secured by segregated reserves. The crypto asset is issued on a Distributed Ledger Technology (DLT) (i.e. a blockchain) with three existing types of pegging mechanisms:

1. **Fiat-collateralised** stablecoins: backed 1:1 by reserves of cash or liquid assets. These are the most common and utilised type of stablecoin, currently representing over 90% of all stablecoins. We will focus on these in this piece.
2. **Crypto-collateralised** stablecoins: backed by over-collateralised crypto assets. The issuance of these stablecoins tends to be restricted by regulations such as the EU's Markets in Crypto-Assets Regulation (MiCAR).
3. **Algorithmic** stablecoins: not backed by real assets, but the peg to the chosen currency is maintained by a dynamic adjustment of the token's supply using algorithms or "smart contracts". Following the crash of the Terra project in 2022, algorithmic stablecoins now represent only a fraction of all stablecoins.

The total market capitalisation of stablecoins has surpassed US\$300bn globally, 99% of which is USD-pegged tokens. While still dwarfed by bank deposits, the rapid growth of the sector over the past five years (up by \$250bn) has drawn considerable attention. Despite the sharp expansion, though, stablecoins now account for only about 7% of the broader crypto market, a decline from their 2022 peak, as the market capitalisation of other cryptocurrencies has grown even faster.

Selected stablecoins' market capitalisation over time & share of all cryptocurrencies

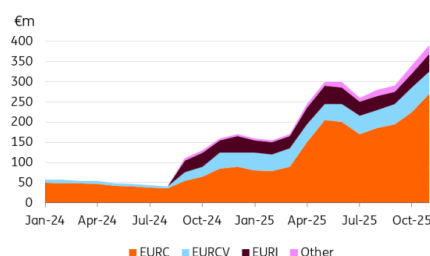


Source: ING Research, IMF / USDT = Tether, USDC = Circle, USDS = Sky Protocol

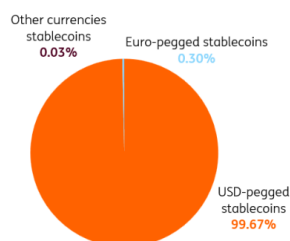
Euro-pegged stablecoins still only represent a fraction of all stablecoins in use, but their market capitalisation grew from €50m in early 2024 to nearly €400m at the end of 2025. Euro stablecoins remain in their infancy, accounting for only about 0.3% of the global stablecoin market despite recent progress.

Euro-pegged stablecoins remain at a nascent stage

Euro-pegged stablecoins' market capitalisation over time



Market capitalisation of stablecoins across currencies



Source: ING Research, ECB / EURC = Euro Circle, EURCV = Coinvertible, EURI = Eurite

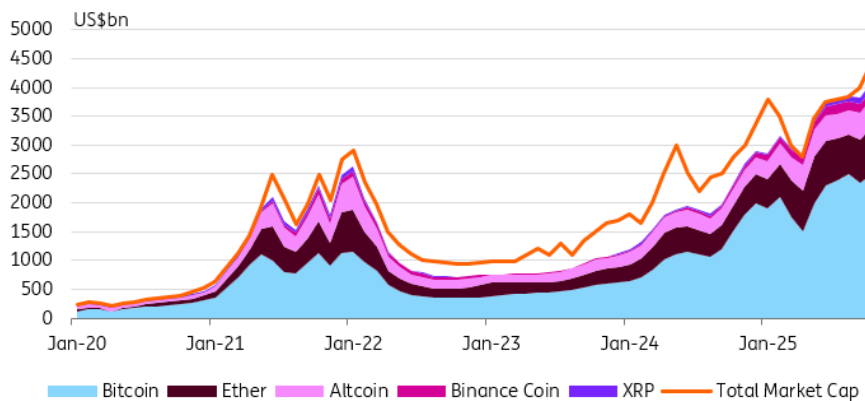
Available data shows that the use of stablecoins remains limited in the larger frame of global payments. Yet the sector's very rapid development over the past years suggests that could change. The new digital currency is forecast to grow exponentially, reaching anywhere between \$900bn and \$4.2tr by 2030. The wide variation in projections underscores just how hard it is to forecast the trajectory of stablecoins over the coming years. Indeed, **stablecoins' growth will depend on several factors: the regulation in place, interoperability with existing payment systems and, importantly, their use cases and relative attractiveness versus other payment systems (new or existing).** The next section delves into other technologies that could influence the growth (or lack thereof) of stablecoins.

How do stablecoins differ from other digital & crypto currencies?

Unbacked cryptocurrencies

Stablecoins are a form of crypto asset, but they differ from other cryptocurrencies by holding segregated reserves designed to maintain a one-to-one value with a chosen reference currency. This is not the case for “real” cryptocurrencies that are also issued and transferred using Distributed Ledger Technology (DLT) but not backed by liquid assets. These unbacked cryptocurrencies are, therefore, much more volatile and used mainly for investment and speculative purposes. Taken together, cryptocurrencies’ market capitalisation reached nearly \$4500bn at the end of 2025, about three times the level in early 2024.

Selected cryptocurrencies market capitalisation over time



Source: ING Research, IMF

Beyond stablecoins and unbacked cryptocurrencies, a new wave of digital currencies is gaining traction among both prospective issuers and regulators.

Tokenised assets

Tokenised assets are digital representations of real-world assets on a distributed ledger infrastructure. A wide range of underlying assets can be tokenised, including securities, bank deposits, and real estate.

Tokenisation is increasingly being explored for bank deposits, where the deposit itself is represented, stored, and issued on a DLT. Each token corresponds to a direct claim on a regulated commercial bank and remains on that bank’s balance sheet. Unlike stablecoins, tokenised deposits do not circulate as bearer instruments but are tied to identified account holders.

The usage of tokenised deposits currently remains limited and mostly experimental. However,

tokenised deposits can modernise payment and settlement infrastructures, as well as intragroup liquidity management. They promise faster settlement (near-instant, in fact), 24/7 transactions, programmability, and lower operational frictions (reducing reliance on multiple intermediaries). Tokenised deposits also offer regulatory advantages, as they remain fully within the existing supervisory framework; the underlying assets stay on commercial banks' balance sheets, preserving the same oversight and prudential standards applied to traditional deposits.

Central Bank Digital Currencies

Central Bank Digital Currencies (CBDCs) are digital forms of money that allow users to pay each other using a direct claim on the central bank. In other words, it aims to reinvent central bank money (cash and coins) in a digital form. CBDCs are often compared and opposed to stablecoins, but the main difference is their direct claim to the central bank. They are issued and maintained by the central authority, often but not systematically using DLTs.

CBDCs can be built for retail or wholesale use (for interbank settlements and large-value transfers). Only a few CBDCs are currently in use in the world (Bahamas, Jamaica, Nigeria and China with a large-scale pilot). But over 100 countries have projects to develop their own digital currency. This includes the EU, which is currently developing its own retail CBDC (the digital euro) and aiming for a 2029 launch. Read more on this in our piece [*The digital euro is making progress, European banks should pay attention.*](#)

In addition to the digital euro, the EU is looking at developing a wholesale DLT settlement strategy. The near-term project 'Pontes' will leverage existing T2 infrastructure and provide immediate central bank money settlement. It's expected to be launched in 3Q 2026. The European Central Bank also plans a full DLT-based wholesale CBDC ecosystem under the 'Appia' initiative, with a blueprint expected in 2028.

To summarise the four digital currencies discussed, the table below highlights the key differences across their main attributes.

Currencies comparison table

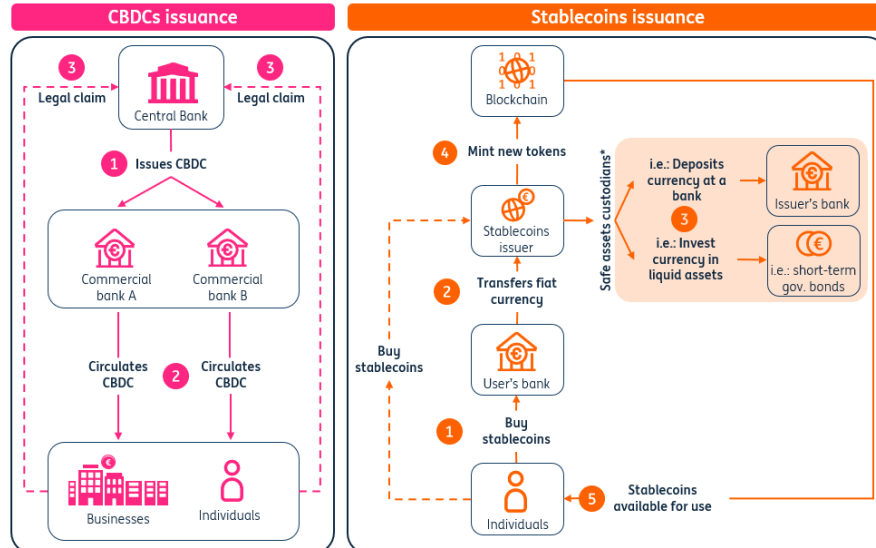
	Stablecoins	CBDCs	'Real' cryptos	Tokenised deposits	Bank deposits	Cash
Digital	✓	✓	✓	✓	✓	✗
Public	✗	✓	✗	✗	✗	✓
Blockchain use	✓	~	✓	✓	✗	✗
Programmable	✓	~	✓	✓	~	✗
Use without intermediaries	✓	~	✓	✗	✗	✓
Large price volatility	Limited by pegging mechanism	✗	✓	✗	✗	✗
Means of payment role	✓	✓	Not in the wider economy	✓	✓	✓
Unit of account role (used for invoicing)	✓	✓	Not in the wider economy	✓	✓	✓
Store of value role	Potential, especially if remuneration allowed	Not if implementation of holding limits	✗	Linked to real-world bank deposits	✓	✓
Regulation	Fragmented	National	Fragmented	✓	✓	✓

~ Possible ✗ No ✓ Yes

Source: ING Research

Both stablecoins and CBDCs aim to create a more digital and efficient means of payment, yet they are often portrayed as competing alternatives. Despite this, the two forms of digital money differ significantly. Their key differences can be illustrated through their issuance models, shown in the flowchart below.

CBDCs versus stablecoins issuance flow



Source: ING Research *examples of safe asset custodians, can vary depending on the regulation in place

The approach to stablecoins and CBDCs varies across the globe, with notable differences between the US and Europe. The transatlantic divide became increasingly apparent in the summer of 2025, when the US moved to support dollar-backed stablecoins while prohibiting the issuance of a CBDC. Europe has taken a different approach, arguing that a CBDC, the digital

euro, would enhance regulatory oversight through issuance and supervision by the European Central Bank.

Given the starkly different political approaches across jurisdictions, stablecoins are likely to evolve as primarily domestic or regional instruments, a dynamic that could shape and, potentially, constrain their overall growth potential.

For stablecoins to become systemically important, their use needs to extend beyond the crypto ecosystem into the broader, global, payments world. However, political positions are already signalling resistance to a global (dollar-pegged) stablecoin, with policymakers instead encouraging the development of multiple domestic stablecoins denominated in local currencies.

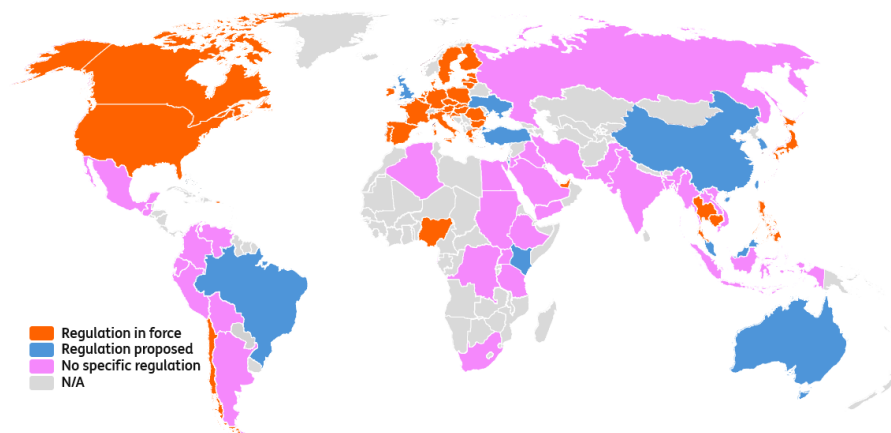
The absence of regulatory harmonisation reinforces this trend. Stablecoin issuers must adapt to each jurisdiction's rules, limiting cross-border scalability and undermining the emergence of a single dominant global stablecoin. The next section outlines the regulatory divergences across the US, EU, and UK.

Large regulatory differences and crucial remuneration uncertainty

Currently, 12 countries have stablecoin regulations in force, and another 10 have proposed texts that are not yet approved. The strongest stance against the issuance of stablecoins comes from China, where they're banned. This partly stems from the government's push for its CBDC; stablecoins are therefore viewed as direct competition.

The main laws are in place in the trading hubs, while other markets still lack specific stablecoin and crypto asset regulations. Despite recent developments at the national or regional level, there's an absence of international harmonisation and coordination on the topic.

Distribution of current stablecoin regulations worldwide



Source: ING Research, Visual capitalist

Because of the lack of international harmonisation on stablecoin oversight, existing regulatory frameworks diverge in several ways. The most important difference concerns the management of the safe assets. Indeed, issuers face various types and levels of restrictions for the segregated reserves. This could influence stablecoins' potential impact on the financial system.

Under US regulation (GENIUS Act), issuers must hold at least \$1 of permitted reserves for every \$1 of stablecoins issued. Permitted reserves include (but are not exclusively) cash, deposits held at commercial banks, short-dated treasury bills and other similar government-issued assets approved by regulators. The absence of specific limits or thresholds on each of these options gives USD-stablecoin issuers a relatively large degree of freedom to allocate their reserves.

This isn't replicated in the European legislation. MiCAR sets stricter requirements for E-Money institute issuers. These institutions (if systemic) are required to hold at least 60% of the safe assets as commercial banks' deposits (30% if non-systemic issuers). They're allowed to hold 40% of their reserves in liquid government bonds (70% if non-systemic issuers).

While the UK is still drafting its final stablecoin regulatory framework, the latest proposal includes restrictions on reserve investments. For systemic issuers, the Bank of England proposes prohibiting the use of commercial bank deposits and requiring that at least 30% of backing assets be held as non-remunerated central bank deposits. The remaining 70% could be invested in short-term government debt. The central bank argues that allowing commercial bank deposits as backing could introduce financial, operational, and contagion risks that could amplify a stress across the sector. Additionally, the UK is the first country to propose a temporary issuance guardrail for systemic issuers, limiting the amount of stablecoins issued to £40bn per issuer for an unspecified temporary period.

While myriad other divergences exist, we also note one convergence between the US, EU and UK regulatory frameworks: the ban on remuneration distribution. All three regimes prohibit stablecoin issuers from paying interest to holders. In the US, where broader crypto market legislation is still under negotiation, this restriction is heavily debated and could ultimately be revised.

Interest payments by stablecoin issuers remain prohibited in most jurisdictions. This restriction is central to the regulatory architecture, as it directly shapes stablecoins' appeal as a store of value and influences both adoption dynamics and its potential footprint in the broader financial system.

The table below summarises the main differences between the three regulatory frameworks. Read more on the various regulatory frameworks in the footnotes.

Summary of the US, EU and UK stablecoins regulatory frameworks

		US ¹ Genius Act	EU MiCAR		UK ² Regulation	
			E-money institute	Credit institution	Non-systemic issuers	Systemic issuers
1.	Access to central bank, lender of last resort	Case-by-case Fed decision	Forbidden	No restrictions		Bank of England considering backstop facility
	Central Bank deposit	Case-by-case Fed decision	Forbidden	Allowed	Allowed	Required i) ≥30% of assets; ii) upremunerated
2.	Asset investment policy					
	Commercial bank deposit	Allowed upper limit to be specified	Required ≥60% of assets (≥30% if non-systemic)	Allowed	Allowed	Forbidden
	Government bonds	Allowed ≤3m maturity	Allowed <40% of assets (<70% if non-systemic)	Allowed	Allowed	Allowed <70% of assets
3.	Stablecoins remuneration	Forbidden for issuer only	Forbidden for issuer and crypto-asset service providers (CASP)	Forbidden for issuer and CASP	Forbidden for issuer	Forbidden for issuer
4.	Issuance guardrail	None	None	None	N/A	Temporary £40bn

Source: ING Research, Fed, European Commission, BoE

1 US has three license levels: for a) bank and b) non-banks at federal level, and c) one at state level for smaller institutions. 2 Proposed UK-regime based on June 2026 proposal in Bank of England consultation

...driving the key uncertainty on stablecoins' uptake

Stablecoins' rapid growth over the past few years, in association with the lack of regulation, has raised concern for central banks across the world. Depending on future growth and use cases, stablecoins could have a significant impact on financial stability. For this to materialise, stablecoin use and adoption would have to go beyond the niche crypto-ecosystem and extend to the payment landscape.

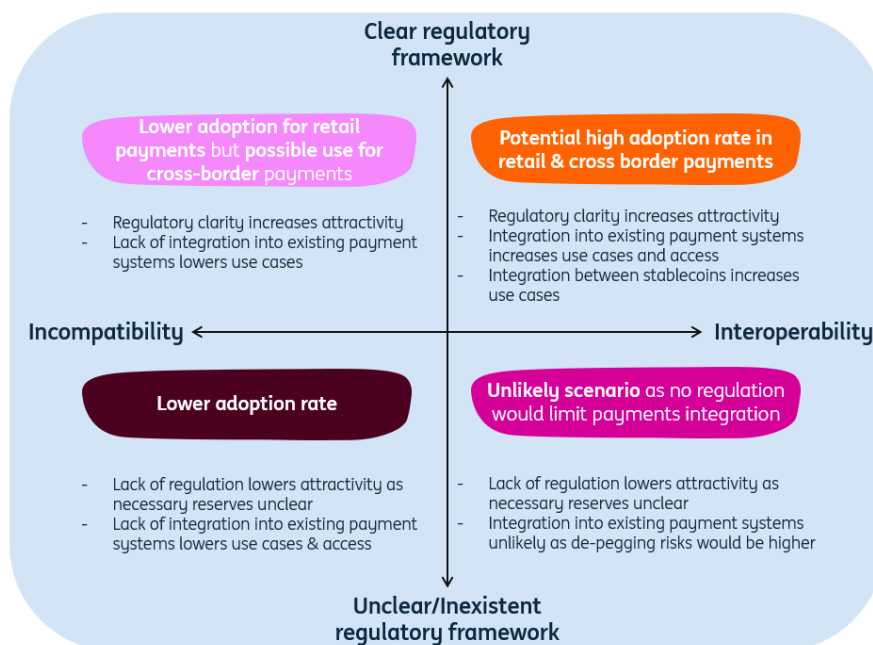
While stablecoins have grown significantly over the years, they are not currently "broadly

adopted". Currently, there's no set threshold determining what would constitute this broad adoption. Furthermore, the development of the crypto asset over the next few years remains unclear. In our view, the adoption uptake would depend on its use for two things:

- Payments
- As a store of value

Starting with the use of stablecoins in payments, there are three main variables. The first two factors are the presence of a regulatory framework and the degree of interoperability between stablecoins and existing payment systems. Mapping these variables produces a quadrant that illustrates four potential development paths for stablecoins.

Potential development of stablecoins in retail payments



Source: ING Research

A scenario with both a clear regulatory framework and full integration of stablecoins into existing payment systems would provide fertile ground for meaningful adoption in payments. However, the extent of such uptake depends on the third variable: the attractiveness of other payment systems (new and existing ones).

The existence and development of alternatives such as tokenised deposits and central bank digital currencies might limit the relative attractiveness of stablecoins. Even though payment systems in Europe remain relatively cheap and fast, that experience is far from universal internationally. For regions where payments are costly and slow, introducing new technologies such as tokenisation into existing systems could allow them to rapidly close the gap with the

advantages stablecoins offer, and potentially emerge as direct competitors to the crypto asset.

There is also a potential political push toward adopting central bank digital currencies, a dynamic relevant not only for jurisdictions with high payment costs but for the EU as well. The digital euro has become a central topic in the 'strategic payment autonomy' discussion and could directly compete with stablecoins for day-to-day payment use.

When it comes to the use of stablecoins as a store of value, a significant uptake would depend on two points:

- Whether direct remuneration by stablecoin issuers is allowed. The current ban on direct remuneration in major jurisdictions does little to support the use of stablecoins as deposit-like instruments, except in countries where real interest rates are negative. However, we can't exclude regulatory changes in coming years, especially as the topic is currently under discussion in the US with the upcoming Clarity Act. Read more on this in our regulatory footnotes below.
- The interest rate level paid on alternative deposit accounts (such as traditional bank deposits), as stablecoins could become more of a competitor to traditional deposit accounts in an environment where interest rates are zero or close to zero (which has been the case in the EU in recent years and is still the case in the US).

Only if, and with the right combination of these factors, could we foresee the adoption of stablecoins growing significantly to become broadly adopted. Yet, at present, it remains difficult to estimate the direction the crypto asset will follow in the years ahead.

Potential implications of stablecoins

Although stablecoins are not yet widely adopted and their future trajectory remains hard to pin down, our forthcoming articles will explore a scenario in which they scale enough to become a meaningful payment system. We see this as a necessary exercise: broad stablecoin adoption could carry significant and far-reaching implications for the financial system – spanning the banking sector, emerging market stability, safe asset demand, monetary policy transmission, and even geopolitical and cyber-risk dynamics.

Indeed, research has found that upon broad adoption, stablecoins could drive significant changes in banks' funding. Depending on the required reserves, this could translate into either a net drop in retail deposits or a switch from retail into wholesale deposits (as MiCAR requires stablecoin issuers to hold part of the reserves in EU commercial banks). Overall, it could make banks' funding structure more volatile as wholesale deposits are known to be less steady funding sources than retail ones (which are rarely moved across institutions). Also, wholesale deposits are costlier to hold for banks as the regulation imposes higher capital requirements, reflecting their higher volatility and general risk level.

Stablecoins could also have implications in emerging markets through currency substitution. It could amplify depreciation pressures under stress episodes by lowering friction around moving local currency into USD stablecoins. Countries with weak monetary credibility (i.e. high inflation, low interest rates) make stablecoins an attractive store of value and payment means, even outside stress episodes. The outflow to stablecoins could further undermine monetary policy transmission.

USD stablecoins also have the potential to boost demand for short-term US treasuries as issuers look for safe asset reserves. In principle, quick changes in transaction-driven demand could then amplify volatility in rates under a stress scenario. The proliferation of stablecoins (regardless of the currency) may also shift the composition of the overall monetary base with an asset reallocation from bank deposits into treasury/government bonds. This means potentially weaker monetary policy transmission through both the credit and interest rate channels.

While all these points remain theoretical implications of stablecoins, regulators are increasingly concerned and estimates on those impacts are developing. In future reports, we aim to contribute to the growing body of literature on this subject by diving deeper into each of these potential implications, seriously considering a scenario where stablecoins become a broadly adopted payment system.

Stablecoins are growing but the jury is still out on how big they'll get

Over the last few years, the market capitalisation of stablecoins has grown significantly, attracting the attention of both potential issuers and regulators across the globe. However, when it comes to the development of the crypto asset, it remains difficult to estimate an exact path. In our view, the growth of stablecoins in the coming years could be limited or strong depending on their uptake in both payments and as a store of value. Part of this growth to become a “broadly adopted” instrument depends on the existence of a regulatory framework and the interoperability with existing payment systems. The difficulty in estimating stablecoin growth comes from predicting the relative attractiveness versus alternative payment systems (new or old) as the sector quickly evolves.

It's important to consider a scenario where the use of stablecoins increases significantly, as this could have serious implications for financial stability, the banking sector, and emerging markets, as well as monetary policy. Therefore, in our upcoming series of articles, we will dive into potential impacts in more depth, starting with the implications of “broadly adopted” stablecoins for financial institutions.

Regulatory footnotes

The United States' GENIUS Act

Adopted in July 2025, the Guiding and Establishing National Innovation for US Stablecoins Act (GENIUS Act) establishes a regime to regulate US payment stablecoins. Despite the enforcement starting in January 2027, the mere adoption of the GENIUS Act had an immediate effect on USD-denominated stablecoins, with net stablecoin creation growing from about \$10bn in 2Q25 (before the regulation) to over \$45bn in 3Q25, a 324% increase in just a couple of months.

The regulation permits stablecoins to be issued by banks, credit unions and certain non-bank entities (although non-bank issuers are limited to financial firms unless the Stablecoin Certification Review Committee (SCRC) unanimously determines that they do not pose a risk to the banking or financial system).

Issuers face tailored capital, liquidity, and risk management rules but are not subject to the regulatory capital standards for “traditional” banks. Banks issuing stablecoins are regulated by the Federal Reserve, while non-banks fall under the Office of the Comptroller of the Currency (OCC) oversight.

Aside from permitted issuers, the GENIUS Act also clarifies stablecoin requirements. **Issuers must hold at least \$1 of permitted reserves for every \$1 of stablecoins issued.**

Permitted reserves include (but are not limited to) USD cash, deposits held at commercial banks, short-dated treasury bills and other similar government-issued assets approved by regulators.

Additionally, issuers of the digital currency must comply with several transparency and reporting requirements, including regular reporting on the reserve composition, and must run audits by public accounting firms. They are required to disclose the redemption procedures and comply with the US Bank Secrecy Act as well as tailored Anti-Money Laundering and Counter-Terrorism Financing (AML/CTF) rules.

The GENIUS Act also currently prohibits issuers from paying interest to stablecoin holders. However, the topic is open to discussion in the US as the proposed CLARITY Act (which aims to clarify the broader crypto asset regulatory landscape) could include the possibility for stablecoin issuers to distribute customer rewards.

The EU's Markets in Crypto-Assets Regulation (MiCAR)

MiCAR was adopted in 2023 and covers a wide range of crypto assets. The stablecoin rules gradually came into force through the end of 2024. They apply to both issuers and entities offering trading, custody, exchange and advisory on crypto assets. **MiCAR classifies crypto assets in three categories:**

- **Asset-Referenced Tokens (ARTs)**: stablecoins backed by a basket of assets such as fiat currencies or commodities
- **E-Money Tokens (EMTs)**: stablecoins pegged to a single fiat currency
- **Other crypto assets**: including decentralised cryptocurrencies and other tokens (not falling into the first two categories)

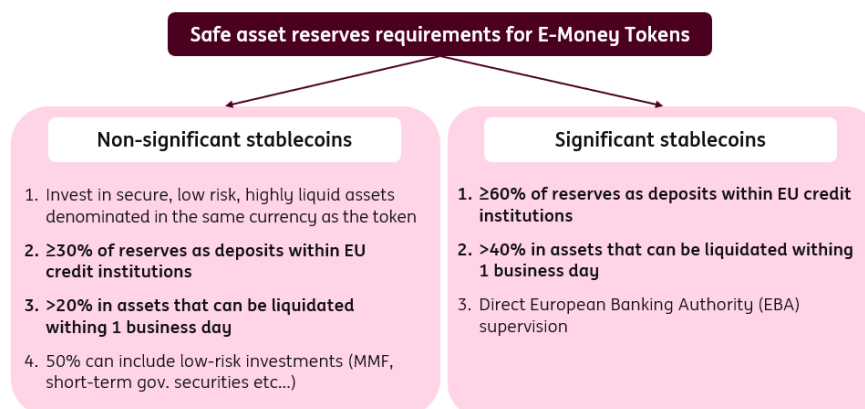
The regulation clarifies which entities are allowed to issue crypto assets in the Union, namely credit institutions and Authorised Electronic Money Institutions (EMIs). In addition, the EU differentiates cryptocurrencies by their size, including specific requirements for the largest assets.

Stablecoins are considered significant when (but not only):

- The **number of holders** is larger than **10m**
- The **value of the token** issued (market capitalisation or size of the reserve of assets) is higher than **€5bn**
- The **average number and transaction value per day** are higher than **2.5m and €0.5bn**, respectively

Under MiCAR, stablecoin issuers are required to have a legal entity established in the EU. The regulation sets out a list of requirements for stablecoins issued in the EU, starting with the prohibition on the distribution of interest on the tokens. It also establishes requirements for stablecoin reserves. For E-Money Tokens (EMTs) specifically, regulatory requirements differ depending on whether the issuer is classified as significant or not. The graph below summarises the safe assets requirements depending on the size of the stablecoin issuer.

MiCAR safe asset requirements per stablecoin issuer type



Source: ING Research, MiCA Regulation

Additionally, all issuers of stablecoins in the EU are subject to transparency and reporting requirements, including the publication of whitepapers on the token's functionality, risk and technology. Issuers must run quarterly stress testing and comply with the Union's AML/CTF

rules.

The UK's upcoming regulation

In June 2026, the Bank of England published a policy statement and draft rules for systemic stablecoin issuers. The BoE's approach to stablecoin regulation varies from existing frameworks as it plans to ban systemic issuers from holding part of their reserves with commercial banks.

The central bank argues that this decision is warranted by the financial, operational, and contagion risks that could arise between stablecoins and the broader financial system during periods of stress. This stance contrasts with the EU stablecoin regulation that requires issuers to hold part of their reserves as commercial bank deposits.

Issuers would therefore be required to hold at least 30% of the reserves in unremunerated BoE deposits and the remaining 70% in short-term UK government debt securities with a residual maturity of up to six months.

The draft rule sets aside the individual holding limit requirement announced previously and instead proposes a temporary issuance guardrail to mitigate risks to credit provision. Each systemic stablecoin issuer will be subject to an initial maximum issuance of £40bn. This limit would be reviewed, loosened and ultimately removed; the BoE doesn't include a timeline for such phasing out. If enforced as such, the UK would be the first country to officially regulate the amount of stablecoins issued, even on a temporary basis.

The proposal plans to require systemic stablecoin issuers to conduct an overall risk assessment to identify, monitor and mitigate risks. Additionally, it sets minimum capital requirements composed of six months of the issuer's relevant operating expenses or the cost of executing its recovery plan. It also requires notifying the central bank when its capital falls below 110% of the minimum requirements.

The Bank of England plans to install a statutory trust mechanism comprising two trusts: one to protect coinholders' interests and the other to cover the costs of returning value to them. Stablecoin issuers will thus be required to segregate the assets used for reserves and appoint third-party custodians to hold these. The proposal also includes a prohibition on the payment of interest and income to coinholders.

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Article | 4 August 2026

GERMANY

Low water levels are new setback for the German economy

Record low water levels in the Rhine could shave 0.3 percentage points off Germany's GDP growth this year



A heatwave in Germany has pushed Rhine water levels to record lows

Some might know that I used to be, and still am, a passionate rower. Rowing on Frankfurt's Main River is not always a pleasure. High water levels and strong currents in winter, combined with commercial river traffic throughout the year, do not make it an ideal place to train. That is, except when water levels are low.

For rowers, low water levels mean calm currents, flat water and very little traffic. Against this backdrop, I have witnessed the effects of climate change during the 12 years I have lived in Frankfurt: fewer periods of high water in winter and longer stretches of flat water in summer. Unfortunately, what has been good for my favourite hobby has become a clear risk for the German economy: low water levels.

Why the Rhine matters for German industry

Yesterday, my colleague Rico Luman [wrote about the impact of low water levels](#) in the Rhine and the consequences for supply chains. For Germany, however, the Rhine is not simply one transport option among many. It is a piece of industrial infrastructure around which much of German industry was physically built.

Roughly 285 million tonnes of freight move along the river annually, making it Europe's most

important logistics corridor after the open seas. It carries about 80% of all goods transported on Germany's inland waterways, while some 600 vessels cross the Dutch-German border every day. The corridor connects Rotterdam directly to three of Germany's largest industrial clusters: Rhine-Ruhr steel, Rhine-Main and the Ludwigshafen chemical complex.

This is no coincidence. The plants were built along the Rhine in the nineteenth century to benefit from barge transport and access to process water, and they have remained there ever since. When the Rhine runs low, the impact extends far beyond supply chains; it strikes at the heart of German industry.

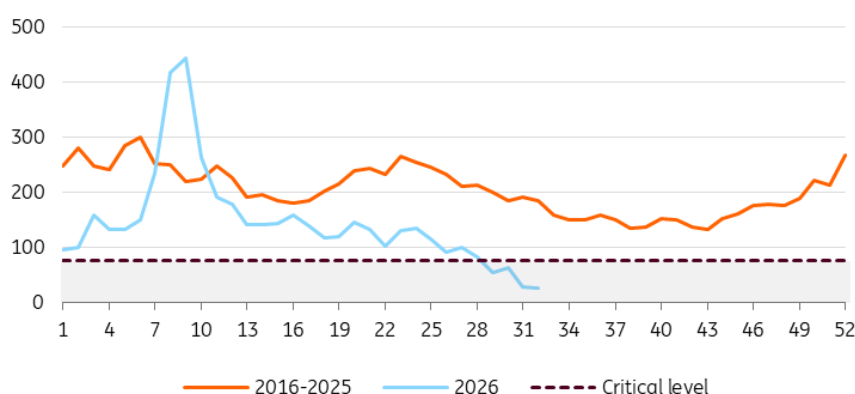
The Rhine's historic importance also means there are no real alternatives. Replacing a single barge can require up to 100 trucks or an entire freight train. And that's before taking into account Germany's well-known infrastructure challenges. Rail and road simply cannot provide a like-for-like substitute for Rhine transport. This is not to say that industry has not reacted to more frequent and longer periods of low water levels. Think of shallow-water barges and higher inventory levels.

Economic impact of low water levels

On Monday, the water level at Kaub fell to 24cm, the lowest level since records began in 1880. The last record low was 25cm in October 2018. This highlights how severe the current situation is. Normally, periods of low water occur between September and November, not in the middle of summer. Yet current forecasts for the next two weeks show little rainfall, suggesting that conditions are likely to worsen.

Water level in Kaub

(average per calendar week in cm)



Source: pegelonline.wsv.de

As the Rhine is home to crucial industries, the economic impact of supply chain constraints, and a potential reduction in production is much larger than the Rhine's c.6% share of total

German freight volume would suggest.

A 2020 Kiel Working Paper found that low water levels in the Rhine, particularly during the 2018 drought, affected the German economy through both transport and production channels. A full month of low water reduced inland shipping volumes by about a quarter, while industrial production fell by roughly 1%. Overall, the 2018 episode is estimated to have shaved around 0.3 percentage points off German GDP growth.

The risk is high that this time around, the economic impact will be larger. The low water levels at the start of August are unprecedented and fully out-of-sample when taking the Kiel paper as a proxy. Obviously, the economic impact now highly depends on the length of the current drought. A week of heavy rain could change the economic picture for the better immediately – even if this currently appears unlikely to happen. Unless the German government finds a reliable rainmaker, we should prepare to see a repetition of 2018 with a negative impact of at least 0.3 percentage points of GDP growth. This comes as a big setback given that the German economy has grown for three quarters in a row and was on track to reach annual GDP growth of some 0.8% this year. A blow to the recovery but not enough to ignite recession fears.

In any case, the negative economic impact will probably make my next outing less enjoyable. Or perhaps not. I may simply find myself humming R.E.M.'s *It's the End of the World as We Know It (And I Feel Fine)*.

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Article | 4 August 2026

TMT

Webinar: The AI race – who will fund and fuel the next wave?

AI is becoming one of the biggest investment, infrastructure and energy stories of our time. Join us to explore how the AI boom is being financed, what investors are watching, and whether power systems can keep pace with soaring demand. [Sign up here](#)



AI is no longer just a technology story. As investment and power needs surge, it has become a capital markets, infrastructure and energy story, too. The race to build AI capabilities is driving unprecedented spending on data centres, compute capacity and power infrastructure. This raises important questions for investors, policymakers and industry leaders.

In this webinar, we will explore how AI expansion is being financed, how investors are assessing the opportunity, and how energy systems can keep pace with growing demand.

You'll learn:

- Why accelerating data centre investment can remain sustainable
- What investors are watching across the largest technology companies
- How AI is reshaping capital markets and financing needs
- How data centres are transforming energy systems and local economies
- How power infrastructure can keep pace — and at what cost

[Click here to sign up](#)

Details

Date: Thursday 13 August

Time: 1400 BST/1500 CEST/0900 ET

The webinar will last 30 minutes, including Q&A.

The event will take place online and the waiting room will open 60 minutes ahead of the scheduled start time.

A joining link will be emailed following registration, and you will receive a reminder email 10 minutes before the scheduled start time.

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Article | 14 August 2026

FX

FX Daily: EUR/USD starting to look cheap

Post-CPI summer trading conditions continue to keep FX volatility subdued, leaving EUR/USD largely anchored. Still, our models are pointing to some short-term undervaluation in the pair, supporting our moderately bullish bias for coming weeks. Gulf headlines remain a marginal factor for FX, more visible in some relative value trades than USD crosses



We see scope for a weaker dollar as expectations of further Fed tightening look overstated

➔ USD: Looking for a shift in Fedspeak

The post-CPI midsummer environment is understandably weighing on FX vols. We argued [yesterday](#), that this could remain the norm for at least the next couple of weeks. At the same time, we retain a preference for dollar downside, as we still believe market conviction around further tightening by the Federal Reserve is too strong.

For now, Fedspeak offers the clearest potential catalyst for market moves. There is still considerable uncertainty over the message that could emerge from the late-August Jackson Hole Symposium, particularly after a CPI report that leaned dovish without delivering a

definitive signal. Yesterday, we heard from Beth Hammack, who voted for a hike and continued to make the case for tightening, but also from Tom Barkin, who raised some doubts about the need for higher rates despite not being considered a dovish voice within the FOMC. Let's see if more centrist members start to soften their hawkish tone.

Today's US calendar includes July retail sales, expected at a modest 0.1% month-on-month, and the University of Michigan surveys, which are expected to show little change from August. These second-tier releases would likely need to deliver significant surprises to trigger a meaningful dollar reaction.

Meanwhile, headline fatigue surrounding the Middle East remains elevated. US-Iran negotiations appear to be at a stalemate, but Brent declined yesterday, providing some support for global bonds. The bar for the dollar to rebuild a strong direct relationship with oil prices remains quite high, and the impact of developments in the Gulf may remain more visible in G10 relative-value trades, where pairs such as NOK/SEK and AUD/NZD continue to track the energy story quite closely.

Francesco Pesole

➔ **EUR: Showing some undervaluation**

Our models suggest EUR/USD's short-term fair value sits in the 1.160-1.1650 area. That's primarily on the back of the c.10bp tightening in two-year swap rate spreads, which retain a significantly higher beta than other drivers.

That supports our positive bias on EUR/USD, even though we aren't convinced a break above 1.160 is on the cards in the coming days unless communication from the Fed starts to surprise on the dovish side. For now, EUR/USD bulls like us may be content with strengthening technical support around 1.1500.

In the eurozone, the second release of 2Q GDP will be released today, with no expectations for meaningful changes to the advance 0.4% quarter-on-quarter print.

Francesco Pesole

➔ **JPY: BoJ policy story having little effect so far**

Despite some sharp moves in Japanese money markets this week, the yen is failing to find any lasting support. Here, the big story is that the Japanese government might be more tolerant of a faster tightening cycle by the Bank of Japan. The prior assumption had been that a government focusing on growth would only allow the BoJ one hike every six months. The suggestion now is that Tokyo has elevated FX as a policy priority and wants to ensure that the first joint intervention with the US to buy the yen since 1998 is a success.

Markets now price close to a 75% chance that the BoJ hikes 25bp in September. That has seen two-year US:Japan swap differentials narrow nearly 40bp since mid-July. That should be weighing on USD/JPY. The fact that it is not may owe to benign conditions that continue to favour the yen-funded carry trade. That said, the risks to funding in yen are squarely increasing, and if we are right with our call for unchanged Fed rates in September, USD/JPY could well be trading back below 158. And to play independent yen strength in the interim, expect a lot more focus on short CHF/JPY positions.

Chris Turner

➔ CEE: Central bank signals take centre stage

Turkey's central bank [raised its inflation forecast](#) to 28% from 26%, bringing it closer to market expectations and our own forecast. It also signalled that the effective policy stance is likely to normalise as funding shifts from the overnight lending facility back to the repo window. We had expected this move in September, but the case for an earlier shift in August has strengthened. Today, Turkey will publish August inflation expectations, which have risen somewhat since the start of the US-Iran conflict.

Elsewhere, Romania releases 2Q GDP figures today, though yesterday's press conference by the National Bank of Romania governor was the main focus. While the central bank lifted its year-end inflation forecast to 6.1%, the governor said discussions on rate cuts could begin early next year. This matches our forecast, but the firm signal may still surprise markets.

In the Czech Republic, the Czech National Bank will publish minutes from last week's meeting, when rates were left unchanged at 3.75%. The minutes may reveal a more dovish discussion than markets expect. The CNB will also release its full inflation report.

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Article | 14 August 2026

ASIA WEEK AHEAD CHINA INDIA

Asia week ahead: Indonesia rate call, data on China, Taiwan, Japan

Bank Indonesia's rate decision is the highlight of the week, followed by a loan prime rate announcement in China. Key data releases include China's economic activity, Taiwan's export orders, Japan's GDP and inflation, India's trade and FX reserves and Singapore's non-oil domestic exports



Asia Research highlights of the week

[China's trade growth surged amid strong external demand](#)

[Is China's reflation trend running out of steam?](#)

Indonesia: BI expected to hold rates at 5.75%

We expect Bank Indonesia to hold the benchmark rate at 5.75% on Wednesday. BI's unexpected July hold showed that policymakers are increasingly balancing rupiah stability against the need to support growth. While exchange-rate stability remains the main priority,

BI appears more willing to use non-rate tools, including Bank Indonesia Rupiah Securities (SRBI) yields and FX intervention, rather than raising borrowing costs immediately. The ongoing BI leadership transition also lowers the probability of an August move, as Acting Governor Destry Damayanti is likely to use her first meeting to signal continuity rather than deliver a surprise hike.

China: July activity data and LPR decision in focus

China releases its key domestic activity data for July on Monday. We expect sluggish momentum to persist after the weak PMI readings earlier this month. We expect a modest rebound, but retail sales should remain weak at 1.7% year-on-year. Fixed asset investment is likely to slow further to -6.3% YoY ytd, while industrial production continues to outperform, moderating to 5.0% YoY. Following July's Politburo meeting, which emphasised accelerating fiscal spending and the deployment of bond proceeds, investment activity could begin to recover in the coming months. This, however, won't show up in the July data yet. The 70-city property prices will be released on Monday. We are watching for signs that the recent stabilisation of prices in tier 1 and 2 cities can be sustained.

On Thursday, China will announce its decision on loan prime rates. No change is expected, with the 1-year and 5-year rates remaining unchanged at 3.0% and 3.5%, respectively.

Taiwan: Export orders growth set to accelerate

Taiwan releases export orders data on Thursday. We expect growth to accelerate further to 67.5% YoY amid strong orders from tech subsectors continuing to drive overall export orders.

Japan: GDP and inflation data in focus

Market consensus is for Japan's preliminary Q2 GDP, due on 17 August, to remain unchanged at 0.5% quarter-on-quarter, seasonally adjusted. Private consumption is expected to remain the main engine of growth.

Japan releases its headline and core CPI on 21 August. The market expects a moderate increase to 2.0% YoY and 1.8% YoY, respectively. The projected acceleration in headline inflation would bring the national print back to the BOJ's 2% target for the first time in recent months, driven primarily by persistent import price pressures.

India: Trade and FX reserves data

India releases its import and export data on Monday. On the external buffer side, FX reserves for the week of 14 August are due on Friday.

Singapore: Non-oil domestic exports remain in focus

Singapore's July non-oil domestic exports are due on 17 August. The prior increase for June came in at 20.7% YoY, a notable deceleration from May's 38.4% increase.

Key events in Asia next week

Country	Time (GMT+8)	Data/event	ING	Prev.
Monday 17 August				
Japan	0750	Q2 GDP Prelim (QoQ%)	CF:0,5	0,5
China	1000	Jul Fixed Asset Investment (YoY% ytd)	-6,3	-5,7
	1000	Jul Industrial Output (YoY%)	5	5,3
	1000	Jul Retail Sales (YoY%)	1,7	1
India	-	Jul Imports (USD bn)	-	70,8
	-	Jul Exports (USD bn)	-	40,4
Malaysia	1200	Jul CPI (MoM%/YoY%)	-/-	0/1,9
Thailand	1030	Q2 GDP Growth (QoQ%/YoY%)	-/-	0.7/2.8
Singapore	0830	Non-oil Domestic Exports (YoY%)	-	20,7
Wednesday 19 August				
Indonesia	1530	Rate Decision (%)	5,75	5,75
Thursday 20 August				
Japan	0750	Jul Exports (YoY%)	-	19,3
	0750	Jul Imports (YoY%)	-	25,4
	0750	Jul Trade Balance (JPY bn)	-	-406,9
Australia	0930	Jul Unemployment Rate (%)	-	4,4
China	0900	Aug Loan Prime Rate 1Y	3	3
	0900	Aug Loan Prime Rate 5Y	3,5	3,5
Hong Kong	1630	Jul CPI (MoM%/YoY%)	-/-	0/2
Malaysia	1200	Jul Trade Balance (MYR bn)	-	14,9
	1200	Jul Exports (YoY%)	-	45,4
	1200	Jul Imports (YoY%)	-	43,9
Taiwan	1600	Jul Export Orders (YoY%)	67,5	59,4
Friday 21 August				
Japan	0730	Jul CPI (YoY%)	CF: 2	1,6
	0730	Jul Core CPI (YoY%)	CF: 1,8	1,6
Australia	0700	Aug Judo Bank Manufacturing PMI Flash	-	52
	0700	Aug Judo Bank Services PMI Flash	-	53,6
	0700	Aug Composite PMI Flash	-	53,2
New Zealand	0645	Jul Imports (NZD bn)	-	8,1
	0645	Jul Trade Balance (NZD mn)	-	23
	0645	Jul Exports (NZD bn)	-	8,1
India	1930	FX Reserves (USD bn)	-	692,9
Indonesia	1100	Q2 Current Account (USD bn)	-	-4
	1100	Jul M2 Money Supply (YoY%)	-	8,7

Note : CF = market consensus forecast data

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Article | 13 August 2026

RATES SPARK

Rates Spark: The yen link to US Treasuries

US inflation data this week has been contained and very welcome for Treasuries. It absolutely eases higher rates pressure. But that pressure is far from gone. Real yields are higher and will likely remain so. The fiscal numbers are slipping. And keep a close eye on the yen and how it's dealt with in the coming weeks and months, as Treasuries can be impacted



Real yields in the US remain high and with fiscal numbers slipping there could be negative feedback into Treasuries if more intervention to support the yen is entertained

A link between yen pressure and Treasuries pressure is there. It may be nothing, but then again

There is a clear impulse running from the recent Japanese yen intervention saga to interest rate markets. We assert that prior JPY weakness is a manifestation of tension stemming from an uber-cautious Bank of Japan and a policy rate that remains too low. On our updated calculations, the Japanese policy rate today is some 50bp below neutrality as measured from our estimate of the interest rate buffer vis-à-vis the Federal Reserve. See more on the formulations [here](#). The tension stemming from this is reflected in a super weak yen and very elevated long-dated Japanese government bond yields, with the 30yr yield in the 4% area. This tension can be eased through rate hikes, and the sooner, the better. While that could be

construed as negative for the economy, it's also a choice. Prioritise the protection of the yen, or not? That's the first impulse.

The second impulse revolves around the recent intervention that saw Japan and the US engage in co-ordinated action to strengthen the yen. It's quite probable, behind the scenes, that Treasury Secretary Bessent voiced an expectation that the Bank of Japan tightens policy as a support to the intervention. On top of that, the Treasury Secretary chose to sell euros to buy the yen, which is unusual, as typically the trade would have been to sell the US dollar, not the euro. While there has been no clear rationale offered for this, it is quite possible that the Treasury Secretary simply preferred not to engage in a trade that would manifest in the selling of US Treasuries; whether through the intervention process, or in the wider marketplace. Again, no clear messaging that this was the case. But it could be inferred as possible.

Ahead, we need to keep a close eye on these circumstances. It seems that the yen is intent on testing 160 versus the US dollar again, as it continues to creep in that direction. And why not, as the prior tension has not magically disappeared. Timing is uncertain, and there would be a heightened expectation that such a test would be met with official resistance again. Important to monitor whether and to what extent there is a negative feedback loop into US Treasuries as further intervention is entertained. If the US Treasury were again to sell euros, could the European Central Bank, for example, choose to balance the trade by selling US dollars, and by extension, US Treasuries? While it would typically be short-dated sales, the impulse can be felt right out the curve.

On top of all that, the July US fiscal numbers were not great (see more [here](#)), and can independently pressure Treasuries. Meanwhile, the ratchet higher in longer-dated real yields since February is a feature that we're not expecting to see unwound any time soon. And the 0.5bp tail on Wednesday's 30yr Treasury auction is untimely, despite its concessional pricing. Lots of themes swirling around here, and mostly laced with negative pressure. On a more constructive note, the latest US inflation data has reduced the tension for higher US rates. A September Fed hike is no longer discounted. That should not stop the Bank of Japan from doing the right thing. In fact, it would help a hike to stand out, which would help. Still a month away though.

Friday's events and market view

With this week, markets have passed the first set of data tests for their Fed assessment. Until we get to the next jobs and inflation data ahead of the September Fed meeting, other data are likely to play only a secondary role. The US releases this Friday are the July retail sales numbers as well as the University of Michigan consumer sentiment index. The Fed's Goolsbee is scheduled for a TV appearance. Out of the eurozone we will get the second Q2 GDP reading as well as June's trade balance.

There is no sovereign bond supply scheduled for the day, but on the ratings front, Fitch has pencilled in a possible review of the UK's AA-/Stable rating and Moody's will look at Austria's Aa1/Negative rating.

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Article | 13 August 2026

POLAND

Record-high primary income deficit hits Poland's current account

In June, Poland's current account deficit widened to €2216m (ING: €1339m; consensus: €679m), from €1071m in May. The positive aspect of today's release is the record related to the balance on services. We estimate that the 12 month rolling current account deficit increased to 1.0% of GDP, up from 0.8% of GDP in the previous month



Poland's current account balance in June widened, mainly due to the record-high primary income deficit

The current account deficit widened in June due to a one-off event

In June, the current account deficit widened to €2216m (ING: €1339m; consensus: €679m), from €1071m in May and a deficit of €445m in June of last year. We estimate that the 12-month rolling current account deficit increased to 1.0% of GDP, up from 0.8% of GDP in the previous month. The main source of the surprise is the record-high primary income deficit of €4444m, which is significantly above last month's outcome (€3160m) and the previous record from June last year (€3998m), and which largely reflects seasonal dividend payments and the reinvestment of earnings by foreign-owned enterprises.

The trade balance deficit amounted to €1469m, slightly higher than in May (€1182m), amid

exceptionally strong trade flows. Export values in EUR increased by 12.3% year-on-year (consensus: 8.0%), while imports rose by 16.9% (consensus: 9.4%). Such strong growth reflected higher transaction prices, the recovery in global trade, and calendar effects. For imports, an additional factor may have been the acceleration of investment projects related to the implementation of the Recovery and Resilience Facility. National Bank of Poland (NBP) comments indicate that high foreign trade dynamics are driven primarily by capital and intermediate goods. It is also worth noting that, according to the NBP, the increase in global energy commodity prices is a significant contributor to the widening of the trade deficit.

The positive aspect of today's release is the second record related to the balance on services. The surplus reached €3900m, compared with €3379m in May and the previous record of €3872m set in June 2022. Finally, the secondary income balance recorded a relatively small deficit of €203m, compared with €108m in May.

In our view, the June current account deficit should be seen more as a one-off event than as the beginning of a persistent trend. Poland remains in a position of external balance, despite the deterioration in the terms of trade, which is related to rising commodity prices, and the appreciation of the real effective exchange rate of the zloty over recent years. Balance of payments' developments do not constitute a significant source of depreciation pressure on the Polish zloty. The PLN is currently driven primarily by global risk sentiment and the outlook for NBP monetary policy relative to that of other central banks.

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Article | 13 August 2026

POLAND

Poland's economy resilient to Middle East woes

Despite global headwinds stemming from the energy shock triggered by the conflict in the Middle East, Poland's economic conditions improved in the second quarter and GDP accelerated. Inflation also remains within the central bank target. Monetary policymakers are likely to keep rates on hold for the rest of 2026, but 2027 may bring cuts



Poland posts solid economic growth in the second quarter

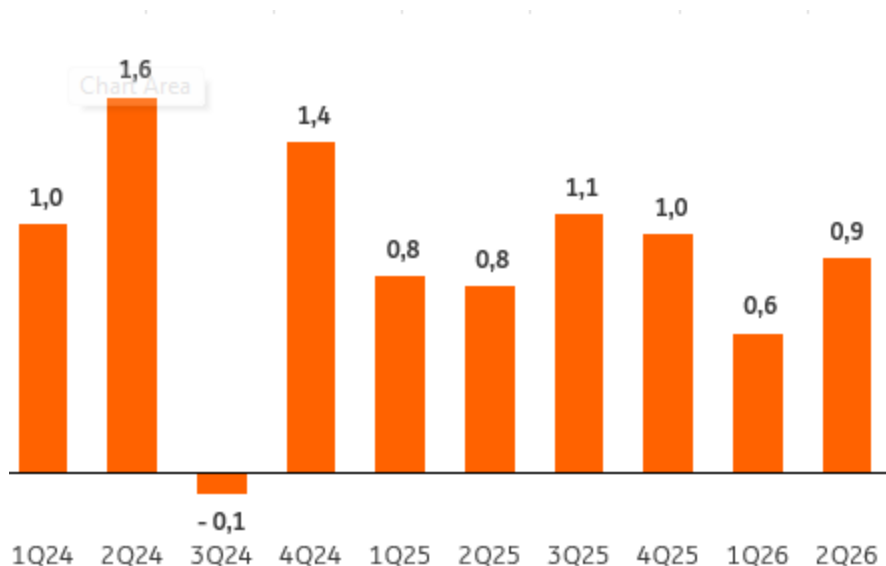
Stronger GDP growth in 2Q26

Although the second quarter of 2026 saw an outbreak of military conflict in the Middle East, which triggered a spike in oil and natural gas prices, Poland's economic performance improved as construction and industrial activity rebounded following a difficult first quarter, when adverse weather conditions weighed on growth.

According to the flash estimate, GDP growth accelerated to 3.8% YoY from 3.5% YoY in 1Q26, as stronger investment activity more than offset a further slowdown in private consumption. Seasonally adjusted data suggest that the economy gained momentum, with growth accelerating to 0.9% QoQ from 0.6% QoQ in 1Q26.

Polish economy accelerates in 2Q26

GDP growth, QoQ SA



Source: GUS.

The Statistical Office will publish the detailed GDP breakdown at the end of the month, but we estimate that consumption growth slowed further as pressure on household budgets intensified. Wage growth continued to moderate, while rising petrol and diesel prices left less room for other spending.

At the same time, investment activity gained momentum as the absorption of EU funds, including resources from the Recovery and Resilience Facility (RRF), accelerated. We remain confident in our forecast of 3.4% GDP growth in 2026.

Inflation up, but price pressure still contained

The final reading of July CPI inflation confirmed that consumer price growth accelerated to 3.0% YoY from 2.5% YoY in June. However, the increase was driven almost entirely by a renewed surge in fuel prices following the restoration of the standard 23% VAT rate from the temporarily reduced 8% rate and the removal of the fuel price cap at the beginning of July. Combined with higher oil prices after the collapse of the Memorandum of Understanding (MoU) between the US and Iran, this pushed retail petrol and diesel prices in Poland up by 15.8% MoM. As a result, annual fuel price inflation accelerated to 7.0% YoY in July from 1.3% YoY in June, contributing around 0.5-0.6 percentage points to headline CPI inflation.

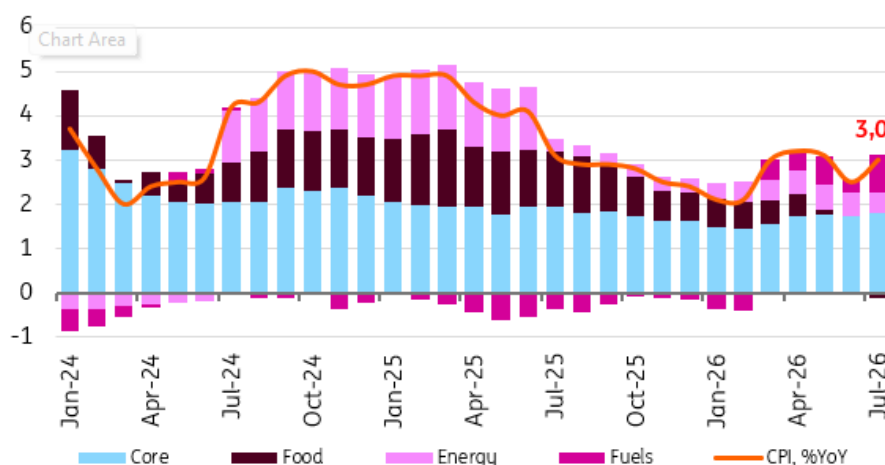
Fortunately, price pressures remain subdued elsewhere in the basket. Housing energy inflation eased slightly, reflecting lower prices of liquid fuels compared with June, while food price inflation continued to decline. In the food category, disinflationary pressures appear broad-

based, with another month of MoM declines in the prices of meat, livestock products, fruit and vegetables.

In addition, fierce competition among Poland's leading retail chains continues to exert downward pressure on consumer prices.

Inflation up mainly on the back of fuel prices

CPI inflation, % YoY, perc. points.



Source: GUS, ING.

We estimate that core inflation excluding food and energy edged up by 0.1pp to 3.1% YoY in July from 3.0% YoY in June, but we see no signs of broad-based upward pressure on prices. Annual inflation in the information and communication category increased slightly, driven by higher prices for computers, data storage devices and mobile phone services. However, this appears to reflect the global AI boom rather than higher energy costs.

Elsewhere, month-on-month price increases were either directly linked to higher fuel costs, such as the jump in air fares, or were largely seasonal in nature, including air conditioners, recreational vehicles and caravans.

Headline inflation remains within the central bank's target range of 2.5% $\pm$ 1 percentage point despite the increase in fuel prices, and we believe that neither the current inflation picture nor the outlook warrants a monetary policy response. In our view, underlying price pressures remain contained, supported by moderating wage growth and a cooler labour market.

Central bank rates to stay on hold in 2026 but room for cuts in 2027

In the coming months, we expect inflation to continue rising at a moderate pace, which should

lead to the National Bank of Poland (NBP) keeping interest rates unchanged at the current level of 3.75%. Although NBP Governor Adam Glapiński indicated in July that the central bank might be prepared to ease monetary policy after the summer, the remaining members of the Monetary Policy Council (MPC) have been considerably more cautious in this regard.

We do not expect NBP interest rate cuts until mid-2027, when inflation may fall below the central bank's target. Our baseline scenario assumes two 25bp rate cuts in May and June, bringing the reference rate down to 3.25%.

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